agitation for a lower rupee, issued a communiqué in the same month affirming their determination to maintain the ratio. Taylor, the Governor, apparently concurred in the views of the government regarding the adequacy of the bank's external resources for carrying out its statutory exchange obligation and the injurious effects of a change in the ratio.

However, Purshotamdas and some of the other elected members pressed for a lowering of the ratio. Purshotamdas pointed out at a meeting in Madras in July 1938 that the sterling assets of the Issue Department had reduced from ₹78.81 crores on June 3 to ₹72.15 crores on July 8, the requirements of the government being met by sale of necessary sterling assets against cancellation of rupee currency notes in the Banking Department. He observed that such contraction of the currency could not be maintained for long without affecting the bank rate or money market and was highly detrimental to the interests of the country. He also challenged the government's contention that the bank's gold and sterling assets were to the tune of ₹160 crores.

Taylor maintained that there was no reason to change the rate, but conveyed the views of Purshotamdas and his colleagues to the government. The government was in no mood to listen, and this prompted Purshotamdas to move a formal resolution in November 1938 at their meeting in Calcutta recommending to the Governor General to take steps to obtain the consent of the Legislative Assembly to a lowering of the rate. Purshotamdas justified this reduction citing the heavy fall in exports, the continually unremunerative prices obtained by the grower of raw produce, and the depletion of the country's currency resources in maintaining the 1s 6d rate. The Governor opposed the resolution and observed that the Central Board had acted on the assumption that the ratio question was one on which the government were awaiting the views of the Board. This, he said, was not the case. The government's nominated member also made it clear that the government was determined to maintain the rate at any cost.

Purshotamdas denounced the categorical nature of the government's pronouncement and Sir Homi Mehta, a nominated Director, remarked that 'their arriving at a conclusion before the Board's decision was reached constituted a grave reflection on the utility of the Board.'[8] The matter was raised on the floor of the Legislative Assembly in August 1938, and in December of the same year, the Congress Working Committee passed a